

Support to Entrepreneurs sickness in small

Business - Concept :-

⇒ Support to Entrepreneurs means help provided by govt & institutions to start & run businesses successfully.

Types of supports :-

(i) financial support :-

- Loans, subsidies,

- These are provided by banks & institutions.

(ii) Technical support :-

- These are training programs.

- It is Guidance on technology & production.

(iii) Marketing support :-

- Help in selling products.

- Exhibition's, trade fairs etc...

(iv) Infrastructure support :-

- It is industrial estates.

- Power, transport facilities.

(v) Govt Schemes :-

- special schemes for ~~govt~~ startup's & MSMEs.

Importance of Support :-

- Encourages new entrepreneurs.
- Reduces risk of failures
- Generates employment
- Helps in business growth.

Sickness in small business :-

- Sickness in small business refers to a situation where a business can't run profitably & faces continuous loss.

Causes of Sickness :-

(i) Internal causes :-

- poor management
- Lack of planning
- Lack of skills.
- Inefficient use of resources.

(ii) External causes :-

- Market competition
- Lack of finance
- Govt policies
- Economic problems.

Symptoms of Sickness

- continuous loss
- low production
- poor cash flow.
- unsold stock.

Solutions for Sickness

- Improve management & planning
- proper financial support.
- Increase marketing efforts.
- use modern technology
- Govt support.

Prevention of Sickness

- Efficient management
- Adequate finance
- proper planning before starting business.
- Regular monitoring

Magnitude : of ~~sma~~ sickness in small business :

⇒ ~~②~~ Magnitude means the size (or) extent of a problem.

- magnitude of sickness means how serious & widespread the sickness of small business is.

⇒ Magnitude Shows :

- How ~~many~~ many small businesses are sick.
- How much loss they are facing.
- How it affects the economy.

Indicators of magnitude of sickness :

(i) Number of sick units :

- Increase in no. of failing businesses.

(ii) Amount of losses :

- Continuous financial losses.

(iii) Outstanding Loans :

- Businesses unable to repay loans.

(iv) Declined in production :

- Reduced o/p & performance.

- (v) Employment loss :-
- Workers losing jobs.

Impact of Magnitude effect (Sickness)

- Economic loss
- Unemployment
- Wastes of Resources.

Reasons for increasing magnitude :-

- poor management
- lack of finance
- High competition
- outdated technology
- weak market demand

Measures to Control magnitude :-

- Early detection of problems
- financial support from govt.
- Use of modern technology
- proper training.
- Better management practices.

Causes & Consequences of sickness in small business

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Internal & external causes

- ↓
- financial loss
- unemployment.
- closure of business
- loss to banks.
- waste to Resources
- economic slowdown

Corrective measures

→ These are the ~~the~~ steps taken to recover a sick business & bring it back to normal condition.

- (i) Improvement in management.
- (ii) financial Restructuring
- (iii) Better marketing Strategies
- (iv) use of modern technology
- (v) cost control measures
- (vi) Govt supports.
- (vii) Debt management.

Govt policy for small scale enterprises :- (MSMEs/SSE)

⇒ Govt policy for small scale enterprises refers to rules, schemes & support provided by the govt to promote small businesses.

Objective :-

- promotes small businesses
- Generates employment
- Encourages entrepreneurship.
- support economic development.

Key features :-

- financial Assistance
- Reservation policy.
- Tax benefits.
- Infrastructure Support
- technology support
- Marketing "

Imp Govt Schemes :-

(i) MSME Development programs :-

- support for micro, small & medium enterprises

(ii) prime minister employment Generation program :- (PMEGP)

- Provides financial assistance for new businesses.

(iii) Mudra loans :-

- loans for small entrepreneurs.

(iv) Startup India Scheme

- It encourages new startups.

Role of Govt:

- provides training & development
- offers financial support.
- promotes innovation & growth.

Importance of Govt policy:

- Helps in growth of small businesses.
- Reduces unemployment.
- promotes industrial development.
- Encourages self employment.

Growth Strategies in small industry - Expansion

⇒ Growth strategy means the plans adopted by a business to increase its size, sales & profit.

Expansion Strategy:

- It means increasing the scale of business operations.

Types of Expansions:

1) Internal expansion:

- It is Growth within the business.

- It includes:

- Increasing production capacity.
- Adding new products.
- Improving existing products.

Ex: - Buying more machines to produce more goods.

2) External expansion:

- It is Growth by joining with other businesses.

- It includes:

- Mergers
- Take overs
- Partnerships.

Ex: Two companies combining to grow faster.

Methods of expansion

(i) Market expansion: entering new market area.

(ii) Product expansion: Introducing new products.

(iii) Capacity expansion: Increasing production level.

(iv) Diversification: starting a new types of business.

Advantages:

- Increases profit
- Improves market share
- Creates employment

Risk of expansion :-

- Requires large investment
- Risk of failure
- Management complexity.

Importance :-

- Helps small businesses grow
- Improves competitiveness.
- enhances long-term survival.

Diversification :-

- It means adding new products (or) ~~meaning~~ entering new markets different from the existing business.

Types :-

(i) Related Diversification :-

- New products are related to existing business.

Ex: A mobile company starting accessories.

(ii) unrelated diversification :-

- New business is completely different.

ex: A textile company starting a restaurant.

Reasons for Diversification

- To reduce business risk
- To increase profit
- To face market competition
- To ensure business growth.

Advantages :

- Reduces dependence on one product
- Increases revenue sources
- Improves market stability.
- Helps in long term growth

Disadvantages :

- Requires more investment
- Difficult to manage
- Lack of expertise.
- Risk of failure in new area.

Importance :

- Help small businesses survive competition.
- Creates new opportunities.
- Improves business strength.

Joint venture :-

- It is a business arrangement where two (or) more parties come together to start a business & share profit, risks & resources.

features :-

- Two (or) more parties involved.
- Share investment & resources.
- profit & loss sharing.

Types :-

(i) Domestic joint venture :-

- It is b/w companies of the same country.

(ii) International joint venture :-

- It is b/w companies from different countries.

Advantages :-

- Sharing risk & cost
- Access new markets
- faster business growth.
- Sharing skills & technology.

Disadvantages:

- possible conflicts b/w partners
- sharing of profits
- lack of full control
- Decision making delay.

Importance:

- Helps small businesses grow
- Reduces financial burden.
- Encourages innovation.

Merger:

- It is when two (or) more Companies combine to form a single new company.

Features:

- Companies combine into one entity
- Assets & liabilities are merged.
- Aims at growth & expansion.
- Reduces competition.

Types:

(i) Horizontal:

- It is b/w similar businesses.

(ii) Vertical:

- It is b/w supplier & buyer.

(iii) conglomerate :-

- It is b/w unrelated businesses.

Advantages :-

- Increases market share
- Reduces competition
- Improves efficiency

Disadvantages :-

- Complex process
- culture differences
- possible job losses.

Subcontracting :-

- It is when a company assigns part of its work to another smaller company.

Features :-

- work is divided b/w companies
- main company supervises
- used in manufacturing & services

Advantages :-

- Reduces workload
- Saves time & cost
- uses specialized skills.

- helps small industries get work.

Disadvantages :

- Quality control issues
- Dependence of work
- Delay in work.

Importance in small industry :

- provides opportunities
 - Improves income & employment.
 - Encourages industrial growth.
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